

Kingdom of Saudi Arabia • Western Region

Real Estate Market Report Jeddah Region

Strategic analysis and market dynamics for 2026

Institutional analysis of offices, residential, retail, logistics and hospitality,
with regulation, transaction data and opportunity maps for decision-makers.

Offices

Residential

Retail

Logistics

Hotels

Regulation

Deals

Opportunities

Nine themes covering the Jeddah real estate market

From macro indicators to actionable opportunities, ordered the way an investor reads the market.

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Demographics · Giga-projects · Events · Confidence

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Ten opportunities · Investor matrix · Real Forsa · Real Invest

How this report was built and what sets it apart

Data sources

The Real Estate Registry and Ministry of Justice (transactions), GASTAT, the Real Estate General Authority (REGA), the Saudi Central Bank, ZATCA, Jeddah Municipality, and announcements by PIF and giga-project developers, with international advisory reports (JLL, Knight Frank, CBRE) as a benchmark.

Analytical approach

2026 values are estimated from transaction data to August and benchmarked against each indicator's annual change; each sector is then linked to its drivers (port and airport, giga-projects, urban migration, regulation) to derive actionable recommendations for developers and investors.

What sets the Takamol report apart

Analysis at corridor and district level, not just the city; real geographic maps of zones and projects; and figures linked to automated feasibility studies in Real Invest and curated opportunities in Real Forsa, making the report a decision tool rather than a market read.

Report scope: Jeddah Governorate and its four zones (North and waterfront · West-central · East and north-east · South-central and South) · Reference period: January – August 2026.

Units and comparison: Values in Saudi riyals (SAR) unless stated otherwise · Annual rates compared with the same period of 2025 (YoY) · Estimates are marked “c.” or “around”.

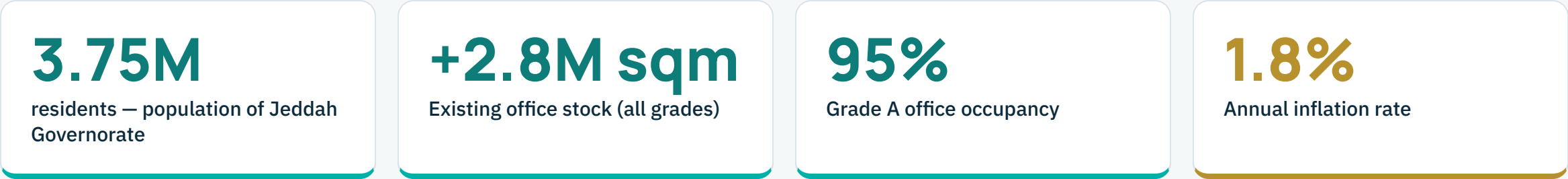
01

Executive Summary and Key Performance Indicators

Demographics and purchasing power · FDI and economic zones · Giga-project map · International events · Business confidence and construction costs · Return-risk matrix



Macro indicators: Jeddah, the Kingdom’s trade and logistics gateway

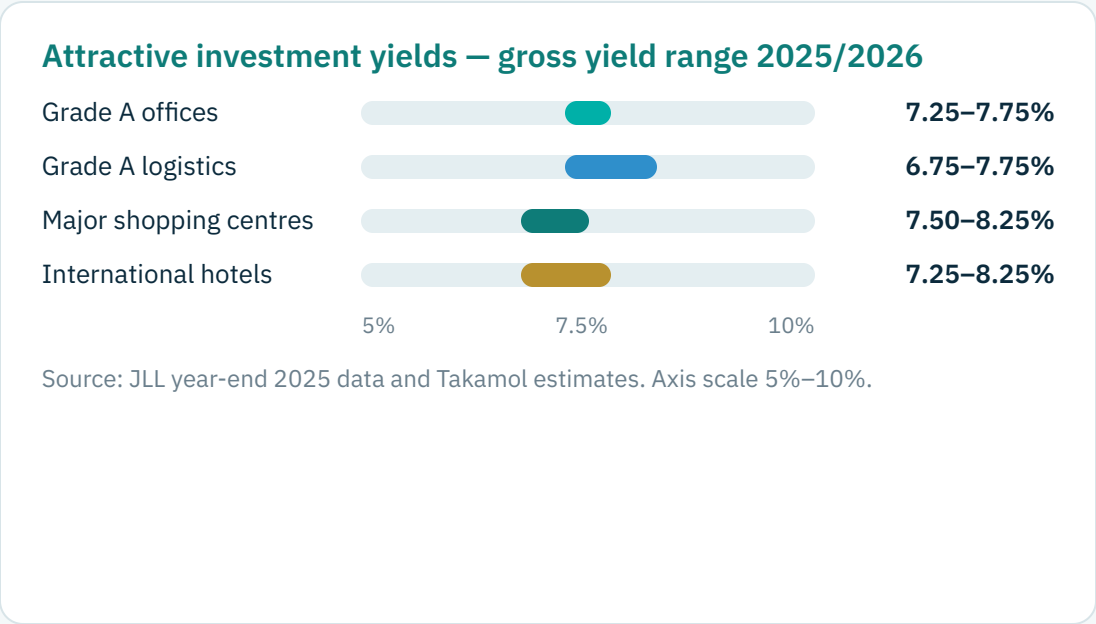


Trade and logistics centre of gravity

Jeddah is the Kingdom’s main gateway on the Red Sea, anchored by Jeddah Islamic Port and King Abdulaziz International Airport, reinforcing its role as the Western Region’s trade, distribution and tourism hub as investment continues to flow into logistics and industrial projects.

Supply-demand gap

Strong demand for modern Grade A offices and high-quality logistics space; industrial and logistics occupancy exceeds 90%, and Grade A office vacancy is only c. 5.1%, reflecting a shortage of quality supply relative to demand.



Demographics, purchasing power and income patterns

Target segment	Profile and composition	Investment and property behaviour
Young Saudi families	Dual income, modern lifestyle	Preference for modern freehold apartments and smart compounds
Expatriate professionals and experts	Regional HQ and consultancy staff	Record uptake of serviced apartments and gated compounds
Individual investors	Surplus capital seeking recurring income	Buying residential/commercial units for short- and long-term letting

Implication: A young population with rising incomes is shifting demand towards modern apartments and serviced compounds rather than traditional villas, opening a window for small investment products (1–2 bedrooms) near business corridors and the waterfront.

69%

Share of population under 35

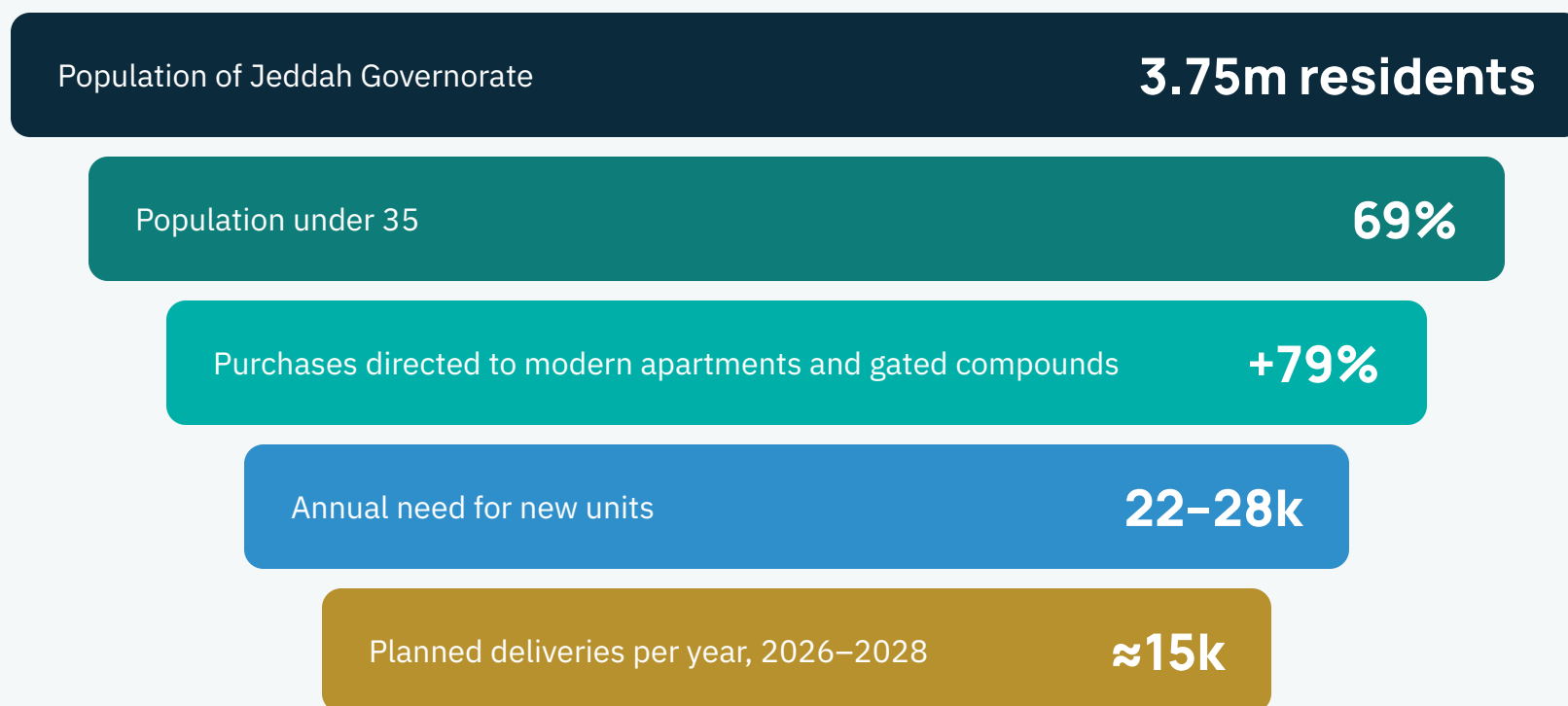
+11,000

SAR — average monthly wage of Saudi workers

2.8%

Compound annual GDP growth

Demand funnel: from population base to required housing units



Reading the funnel

A young, growing population is converting into structural demand for modern apartments in serviced compounds, reinforced by talent inflows and the regeneration of central districts.

Supply scheduled for 2026–2028 totals c. 45k units (around 15k a year), covering only 55%–70% of annual need, which explains the sustained pressure on prices and rents.

Estimated annual gap: 7–13k units

Source: GASTAT, Real Estate Registry, developer announcements (NHC, ROSHN, PIF) and Takamol analysis. Annual need is an estimate.

FDI and economic and logistics zone incentives

Western Region share of FDI inflows

12–15%

Tax holiday in special logistics zones

50 years

Income tax in the four SEZs

5% / 20 yrs

Customs on inputs and re-exports

0%

Where the inflows concentrate

The Western Region (centred on Jeddah and Makkah) captures c. 12%–15% of the Kingdom's net FDI inflows, driven by hospitality, transport, logistics, re-export and maritime shipping.

Special economic zones, including Rabigh and the Jeddah logistics zone, attract billions of riyals of foreign capital in logistics, assembly and re-export, with 100% foreign investment licences and full ownership and operating facilitation.

Incentive package by zone classification

Special Logistics Zones (SILZ)

50-year tax holiday ·
Duty-suspended storage · Immediate re-export

Special Economic Zones

5% income tax for 20 years · 0% customs on inputs · No withholding tax

City-wide

100% foreign licences ·
Updated non-Saudi ownership law ·
Premium Residency

Wording note: For official materials: “tax and customs incentives and exemptions of up to 20–50 years, depending on zone classification and activity”.

Giga-Project Map – Jeddah 2026

- 1 Jeddah Tower and Jeddah Economic City**
North Jeddah – Obhur · 5.3m sqm · A +1,000m global icon as a commercial and residential hub

- 2 Marafy**
North Jeddah · 9.4m sqm · First inland marine canal, 11 km long

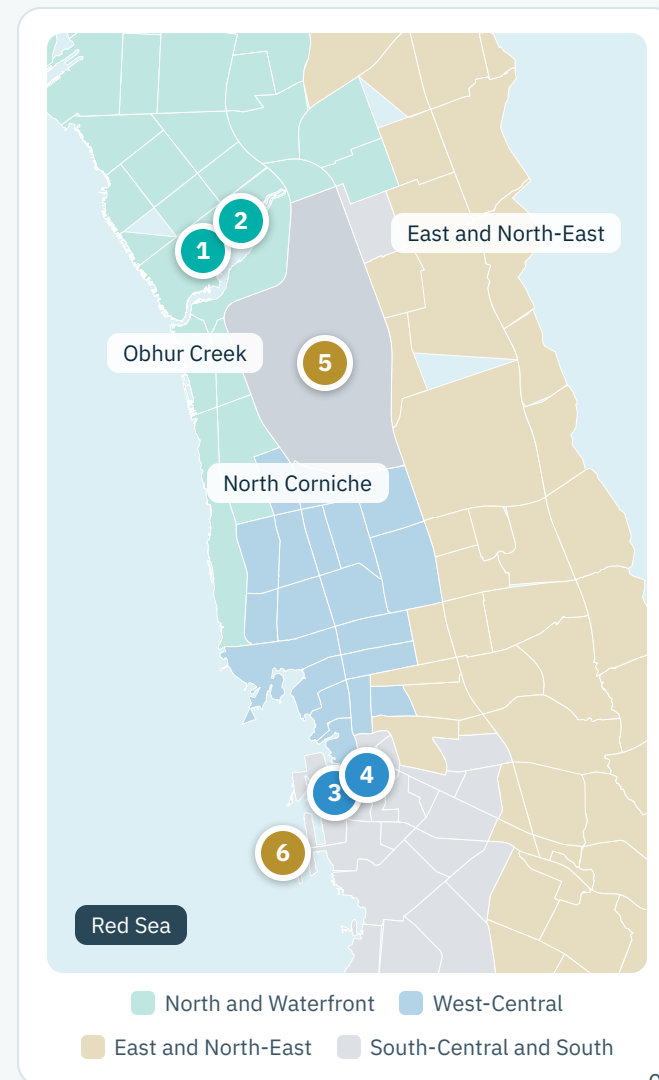
- 3 Jeddah Central**
Waterfront · 5.7m sqm · New urban centre with 17k units and landmark attractions

- 4 Al-Balad (Historic Jeddah)**
South-central Jeddah · 2.5 sq km · Transforming the heritage district into a global cultural destination

- 5 King Abdulaziz International Airport**
Capacity expansion to 100–114m passengers by 2030 · Airport City

- 6 Jeddah Islamic Port**
130m tonnes handling capacity · 10.2m TEU · 62 berths · Logistics anchor

Investment implication: Giga-projects cluster on two axes — the North (Obhur/Marafy/Jeddah Tower) for luxury and the canal, and the central waterfront (Jeddah Central/Al-Balad/Port) to reshape the core — linked by the airport and King Abdulaziz Road as the backbone of demand.



International Events as Investment Levers

Vision 2030 targets and the Gateway to the Two Holy Mosques

Gateway to the Two Holy Mosques and Tourism 2030: Target of +30m visitors and Umrah pilgrims through the Red Sea gateway, alongside marine leisure and tourism projects.

King Abdulaziz International Airport expansion: Raising capacity to 100–114m passengers by 2030 as a major hub for global connectivity.

Hotel sector expansion: A need for 25,000–30,000 new hotel rooms and serviced units to meet tourism, religious and logistics demand.

FIFA World Cup 2034 — four world-class stadiums

King Abdullah Sports City Stadium

Upgrade of the existing stadium ·
58,432 seats

Jeddah Central Stadium

Modern stadium at the heart of
Jeddah Central · 45,749 seats ·
Inspired by Al-Balad architecture

Qiddiya Coast Stadium

New stadium on the Red Sea shore ·
46,096 seats · Wave-form design

King Abdullah Economic City Stadium

Inspired by coral reefs · 45,700 seats

114M

passengers — King Abdulaziz
International Airport capacity by 2030

BRT

Bus and coastal marine transit network
linking the airport, waterfront and central
district

11 km

Record pace of excavation on the Marafy
canal and construction in Jeddah Central
and Al-Balad

+45K

hotel keys and rooms — total targeted
hotel sector capacity

Jeddah roadmap 2026–2034: the milestones that reprice the market

Each delivery milestone adds quality supply or unlocks a new wave of demand — its timing defines the investor's entry window.

2026

Non-Saudi ownership law in force · +21,000 sqm of offices delivered · Westfield Jeddah opens (155k sqm GLA)

2028

Marina and Jeddah Central retail (140k sqm) · 2026–2028 delivery wave completes: c. 45k homes

2030

Airport at 100–114m passengers · +30m visitors · 25–30k new hotel rooms · KAIA City offices (200k sqm)

2027

The Cove and beachfront projects (127k sqm) · Jeddah Central and Al-Balad construction accelerates · Serviced apartments grow

2028–2030

Marafy canal retail frontages (180k sqm) · Residential planning phase: +67k units · 303k sqm of new offices

2034

World Cup: four stadiums (King Abdullah City · Jeddah Central · Qiddiya Coast · KAEC) and peak hotel and leisure demand

Business confidence, construction costs and building permits

56.5

points — Business Confidence Index (BCI) in the optimism and growth range

+2.0–2.5%

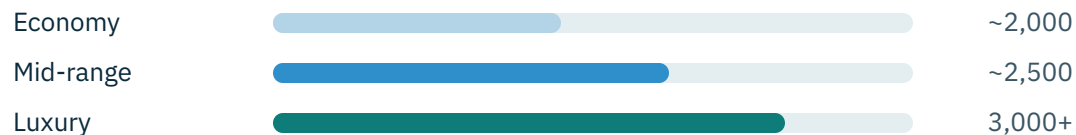
Annual change in construction costs — moderate growth

+9,000

commercial and residential building permits a year — second only to the capital

Average construction and finishing cost

2,000–3,000+

 SAR / sqm

Stable prices for core materials: Steady local prices for rebar and ready-mix concrete have improved the accuracy of feasibility-study cost estimates.

Modern methods of construction (MMC) are changing project economics

30–35%

Shorter build times with precast and prefabricated units

18 → 8–10

months — build time for residential buildings in Jeddah with modular construction

-25%

on-site labour costs, and -15% material waste

22–28%

developer gross margin with humidity- and salt-resistant insulation

Accelerating growth in commercial and hospitality permits to support expansion along the waterfront and in logistics zones.

Occupancy gauges: a market running near full capacity in most sectors

**95%**

Grade A offices

**97%**

Warehousing and logistics

**96%**

Open-air strip centres

**94.5%**

Major retail destinations

**82–85%**

Grade B offices

**64.5%**

Hotels (annual)

What do gauges above 93% mean?

A landlord's market: waiting lists in LEED-certified towers (up to 98%), double-digit rental growth in Grade A, and weak tenant bargaining power until the new supply wave arrives in 2028–2030 (c. 303k sqm of offices).

Where is the opportunity?

The gap between Grade B (82–85%) and Grade A (95%) occupancy rewards refurbishing older buildings to ESG standards; the gap between annual (64.5%) and seasonal (88–94% in Ramadan and holidays) hotel occupancy rewards flexible assets convertible between hotel and serviced-residential use.

Return vs risk matrix: where each sector stands in Jeddah 2026

Warehousing and logistics 8.5–10.0%

Shopping centres and community retail 7.5–8.5%

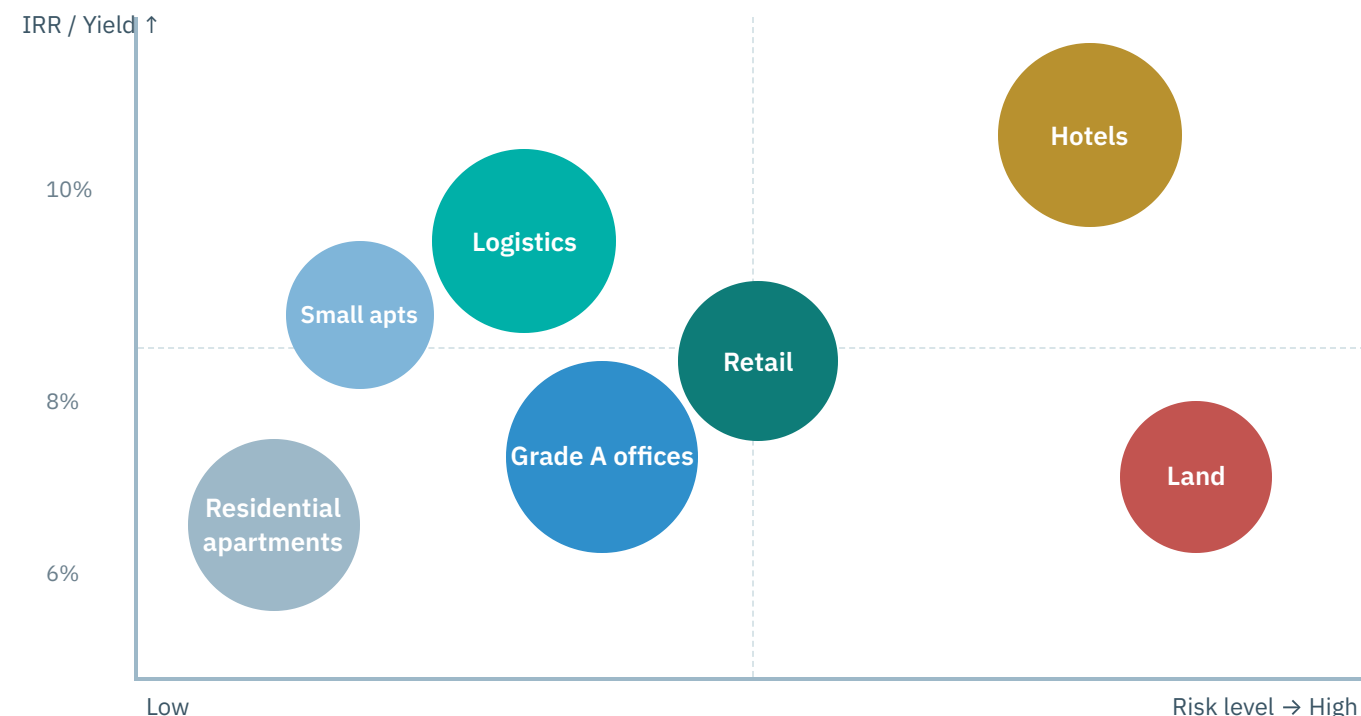
Grade A offices 7.0–8.0%

Small investment apartments (1–2 bed) Up to 8.5%

Residential apartments 6.8–7.6%

Hotels (expected IRR) 11.5–16.0%

Raw land Capital gain / long cycle



Bubble size reflects market depth (deal count and supply) · Positioning is indicative, derived from this report's indicators · Logistics combines the highest net yield with the highest occupancy (97%) in Jeddah.

02

Office Sector and Commercial Workspace

Stock and occupancy · Future supply to 2030 · Rent map by corridor ·
Institutional demand segments · Jeddah Central as a new urban hub ·
Opportunities and outlook



Office market indicators: a landlord's market with scarce Grade A

+2.8M sqm

Existing office GLA — vs +5.1M sqm in Riyadh

93–95%

Grade A office occupancy

+7–10%

Annual Grade A rental growth

7.0–8.0%

Net rental yield on modern office buildings

Occupancy by grade



Market dynamics: Demand concentrates on the main corridors (King Road, Prince Sultan, Al-Andalus), pushing occupancy to near-full in modern prime towers amid limited new LEED-certified supply.

Takamol view

Jeddah's office stock is c. 55% of Riyadh's, yet Grade A vacancy is no more than 5.1%: the market suffers not from oversupply but from a shortage of quality supply.

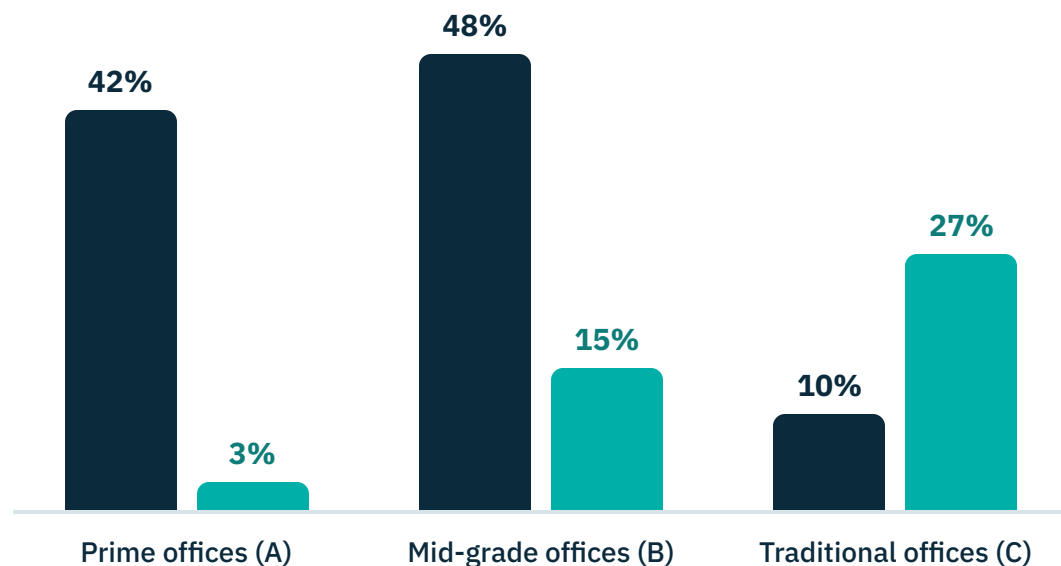
Net yields of 7%–8% on modern buildings let to large corporates, family groups and logistics firms position offices as a defensive, stable-income asset, especially with long regional HQ leases.

Entry window: Ahead of the 2028–2030 supply wave (303k sqm, of which 200k sqm in KAIA City), existing green-certified towers retain pricing power.

Operating dashboard: current supply, vacancy and pipeline

Share of supply vs vacancy rate

■ Share of supply ■ Vacancy rate



Takamol estimates based on the 2026 market survey · Grade A is under half of supply and under an eighth of vacancies.

21,000 sqm

Space expected to enter by end-2026

303,000 sqm

Future supply to 2030 — of which 200k sqm in KAIA City

70–100k sqm

Net annual absorption — well below Riyadh

≈95%

Grade A occupancy — limited supply is the market's biggest support

Outlook 2026–2028

Demand for high-quality offices stays strong and rents are likely to keep rising, though at a more moderate pace as new projects enter. Corporates increasingly favour modern, high-spec buildings, and the pipeline is concentrated in premium space — implying gradual pressure on older, not newer, Grade A stock.

Rent map and rental levels by area and corridor

Area / corridor	Grade A rent	Grade B rent	Rent level (A)	Annual change
King Abdulaziz Road	SAR 1,250	SAR 950		+2.4%
Corniche Road / Al-Shati	SAR 1,200	SAR 900		+2.1%
Prince Sultan Road	SAR 1,150	SAR 880		+1.8%
Tahlia Street	SAR 1,100	SAR 850		+1.3%
Madinah Road	SAR 750	SAR 620		+0.5%
King Fahd Road	SAR 550	SAR 450		+0.5%

Average annual rent in SAR per sqm · Bar indexed to the top corridor (King Abdulaziz Road = 100%).

2.3×

Grade A rent gap between the King Abdulaziz (1,250) and King Fahd (550) corridors

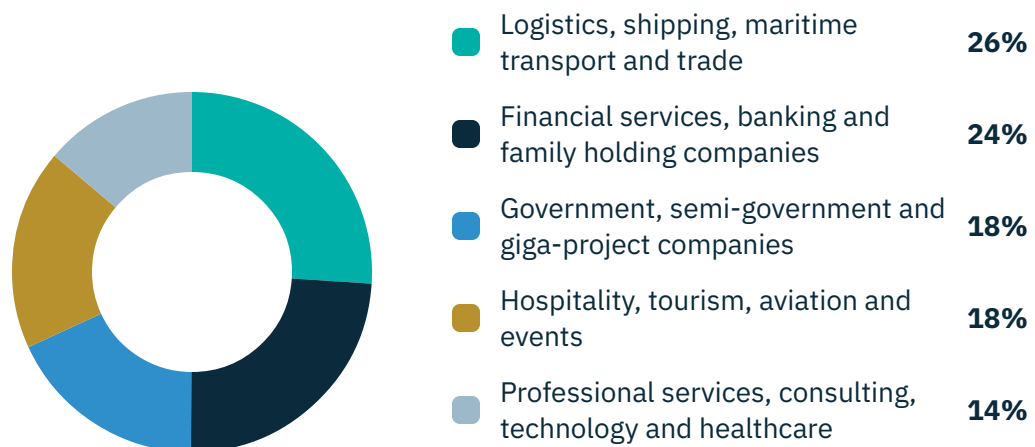
Reading the corridors

North and Corniche: Highest rents and fastest growth — international corporates, banks and consultancies.

Prince Sultan and Tahlia: The historic business artery; mature buildings that reward refurbishment.

Madinah and King Fahd: A wide price gap serving SMEs and service offices, with near-flat growth.

Institutional demand segments and the regional HQ effect



Distribution of institutional office demand in Jeddah 2026 — Takamol estimates.

+75%

Sustainability and LEED certification

of global corporates require LEED Gold or Platinum buildings — turning certification from a marketing edge into a leasing prerequisite.

12.3%

Flexible space and hybrid work

expected annual growth in demand for flex and co-working space over the medium term, driven by SMEs and the tourism and services sectors.

What does the institutional tenant look for in Jeddah?

Flexible, expandable floorplates · Smart parking · Proximity to the King Abdulaziz, Prince Sultan and Corniche corridors · ESG specifications · Proximity to the airport and Haramain High-Speed Rail station for logistics and aviation firms.

The New Urban Hub: Jeddah Central and the Waterfront

Jeddah's core and waterfront are becoming an integrated urban centre combining business, housing, hospitality, retail and leisure, backed by a strategic Red Sea location close to the road network and the airport. Jeddah Central reinforces this shift with a mixed-use destination of 17k homes, 2,700 hotel rooms and office and leisure districts.

SAR 1,000+/sqm

Average office rent on the corridor

+300k sqm

Planned mixed-use space

+110 entities

Leading international and local entities targeted for the hub

95%

Current office occupancy on surrounding corridors

Impact on offices: The opera house, stadium, marina and museum create a new “address” for regional HQs in the Western Region — and set a new premium price benchmark from 2028.



Investment opportunities, challenges and outlook

1

Smart, sustainable office buildings (boutique & mid-scale Grade A)

Along the Corniche and King Abdulaziz Road to serve start-ups, tourism and logistics firms — with LEED as a design requirement, not an add-on.

2

Unlocking raw land in north-east Jeddah

Reducing reliance on congested main corridors, with developer incentives such as fee reductions and faster permitting to steer office supply towards new business centres.

3

Pre-leasing and ESG standards for institutional exit

Securing tenants before completion and embedding green-building standards eases institutional acquisition and recycling of capital through REITs.

4

Outlook: rent differentiation and market stabilisation

As new projects such as the Jeddah Central towers and the new Corniche enter, rental growth for older Grade A stock should ease gradually and the market settle at more balanced levels, while modern certified assets retain their premium.

03

Residential Sector and Housing Market

Residential dashboard · Future supply and major suburban projects ·
Price map by zone · Emerging products and construction technology ·
Investment outlook and yields



Operating dashboard and the Jeddah housing market

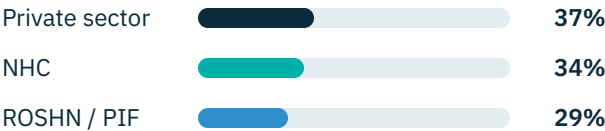
Residential / financial indicator	Current value (2026)	Annual change	Statistical analysis and data sources
Total existing housing stock	+1.24m units	+2.8%	Apartments are the largest share (over 62% of stock and c. 80% of sales transactions).
Average apartment price per sqm	SAR 3,900 – 4,800/sqm	+4.0%	Price gains concentrate in northern and western districts, exceeding SAR 6,000 – 7,500/sqm (Obhur, Al-Shati, Al-Zahra).
Average villa price per sqm	SAR 4,700 – 5,800/sqm	+3.8%	Demand focuses on modern villas in north Jeddah and Obhur, with developers shifting to smaller plots (250 – 350 sqm).
Average annual apartment rent	SAR 28,000 – 48,000/year	+6.3%	Rental growth driven by demand shifting north and west as informal districts are regularised.
Net rental yield	6.8% – 7.6% for apartments	+30 bps	Small investment apartments (1–2 bed) outperform, with net yields of up to 8.5% near the Corniche and the rail station.
Jeddah share of residential mortgage lending	~24% of the Kingdom total	+5.2%	Jeddah (and the Western Region) ranks second after the capital in the volume of retail mortgage contracts.

“Jeddah is undergoing rapid demographic and spatial reshaping: over 79% of purchases are directed to modern apartments and gated communities, with investment liquidity concentrated along the northern and coastal corridors.”

Future Supply Pipeline and Jeddah’s Major Suburban Projects

Zone / Developer	Delivery 2026–2028	Planned 2028–2030	Product Mix
Sadayem Suburb (North Jeddah – Obhur / NHC)	8,500	9,500	Integrated communities, townhouses, affordable apartments
Khuzam / Al-Jawhara Suburb (NHC)	7,000	8,000	Modern for-sale apartments, subsidised housing units
Al-Arous and Marafy (ROSHN / PIF)	9,000	15,000	Smart gated compounds, luxury apartments overlooking the canal
Jeddah Central (PIF)	4,000	13,000	Luxury apartments, penthouses, waterfront hotel residences
Al-Sedan Suburb and private-developer schemes	16,500	22,000	For-sale apartment buildings, private compounds, townhouse villas
Total	45,000	67,500	residential units

Share of 2026–2028 deliveries by developer



Need vs supply

Jeddah needs 22,000–28,000 new homes a year to cover natural household growth, the inflow of talent and demand displaced by central-area regeneration — against planned deliveries averaging around 15k units a year.

Price Map and Geographic Comparison across Jeddah's Four Zones

North and West

Waterfront and luxury growth corridor

Ash Shati, North Obhur, Al-Murjan, Al-Lulu, Al-Basateen

Apartments (SAR/sqm)
5,200 – 7,500

Villas (SAR/sqm)
5,800 – 8,500

West-Central

Business axis and prime residential core

Ar Rawdah, Az Zahra, An Naim, As Salamah, Al-Khalidiyah, Al-Andalus

Apartments (SAR/sqm)
4,600 – 6,200

Villas (SAR/sqm)
5,200 – 7,200

East and North-East

Affordable housing expansion corridor

Al-Hamdaniyah, As Salihyah, As Samir, Al-Manar, At Taysir

Apartments (SAR/sqm)
3,200 – 4,200

Villas (SAR/sqm)
3,600 – 4,800

South-Central and South

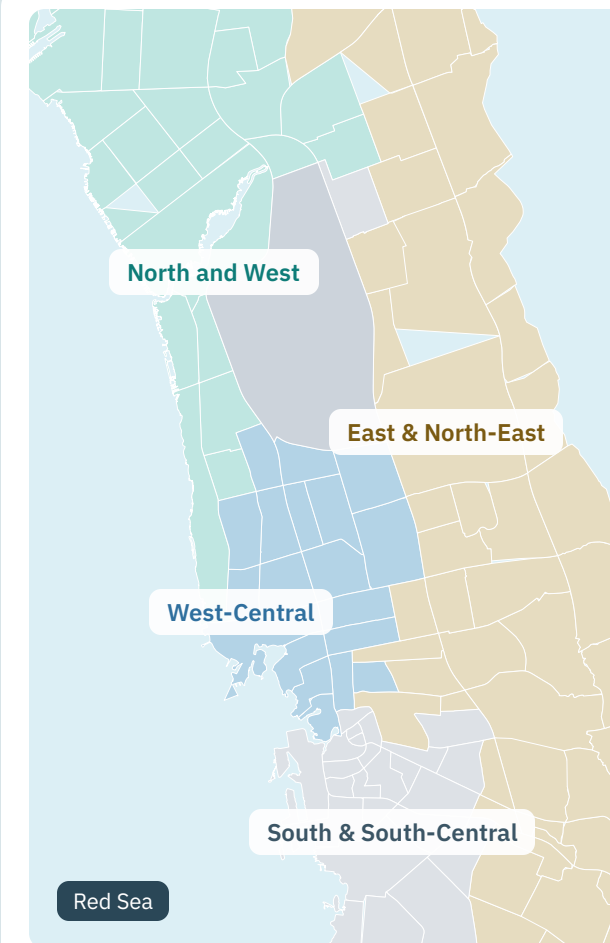
Traditional and historic districts

Al-Fayha, An Nasim, As Sulaymaniyah, Bani Malik, Al-Balad

Apartments (SAR/sqm)
2,900 – 3,800

Villas (SAR/sqm)
3,200 – 4,200

Spatial trend: the northern coastal corridor sets the pace on pricing and luxury development deals, given its proximity to the waterfront, the Marafy canal and King Abdulaziz International Airport, while the eastern corridor absorbs broad demand from young families seeking affordable homes. The gap between the highest and lowest zone is roughly 2×.



Actual district boundaries of Jeddah Governorate · coloured by price band

Emerging Residential Products and Modern Methods of Construction

Emerging residential products

● Gated compounds for professionals

Apartment compounds and integrated communities (ROSHN's Al-Arous and the Sadayem suburb in Obhur) offering hotel-style services, health clubs, green space and co-working, commanding a 20%–25% rental premium over conventional buildings.

● Branded Residences

Developer partnerships with international luxury hotel brands along the Jeddah Corniche, North Obhur and Jeddah Central, offering hotel services and direct sea views and attracting GCC and international investors as the foreign-ownership law takes effect.

● Compact smart apartments

Designed for single professionals, consultants and logistics and tourism staff along the King Road and Prince Sultan corridors, renting at SAR 3,000–4,500 a month inclusive of services, with strong seasonal upside via short-stay platforms.

Modern methods of construction (MMC)

8–10 months instead of 18

Precast concrete and modular construction

Shorter build times for Jeddah housing, accelerating delivery into the northern and eastern suburbs.

22–28% developer gross margin

Cost control and coastal durability

15% less material waste, 25% lower on-site labour cost, and advanced insulation to resist humidity and marine salinity.

Residential Investment Outlook, Challenges and Strategic Recommendations

Strategic theme	Market reality and analysis (Jeddah)	Recommendation for developers and investors
For-sale apartment development	Mainstream demand centres on 120–170 sqm apartments at SAR 650k–950k (SAR 1.2–1.5m on the waterfront, Ash Shati and Az Zahra).	Flexible three-bed layouts with natural light, strong acoustic and thermal insulation, basement parking and smart lifts.
Residential rental investment	Record long- and short-let demand near the business corridors (King Road, Prince Sultan), the Corniche, the Haramain rail station and the airport.	Develop Build-to-Rent compounds managed institutionally via Ejar, licensing part of the stock for seasonal tourist lets to lift yield.
Raw land cost pressure	Serviced land in the western and northern districts now represents 40%–50% of total project cost.	Joint ventures with landowners instead of cash purchases, or a shift to the serviced suburbs of north and north-east Jeddah.
Off-plan sales (Wafi)	Growing buyer confidence in Wafi and escrow protections, with rising appetite to reserve apartments at early construction stages.	Fund the build cycle from off-plan buyer instalments, cutting bank finance costs, and accelerate delivery to build developer reputation.

Jeddah's housing market is shifting from a traditional individual model to an institutional one led by gated compounds and serviced apartments, with investors focused on service-integrated products near the strategic corridors, the waterfront, the Marafy canal and the airport.

Takamol View: Where Does Residential Yield Concentrate? Three Models

Illustrative example based on the average prices and rents in this report — not an investment offer; detailed studies are prepared through Real Invest.

Model A

Small investment apartment (1–2 bed)

Near the Corniche / Haramain station · 80 sqm

Indicative price per sqm **SAR 6,000**

Unit value **SAR 480,000**

Annual rent **SAR 40,000**

Gross yield

8.3%

Est. net 7.5%–8.5% · highest yield and fastest to let, with some seasonality

Model B

Family apartment, West-Central

Ar Rawdah / Az Zahra / As Salamah · 140 sqm

Indicative price per sqm **SAR 5,000**

Unit value **SAR 700,000**

Annual rent **SAR 48,000**

Gross yield

6.9%

Est. net 6.8%–7.2% · high rental stability and steady family demand

Model C

For-sale apartment, affordable East

Al-Hamdaniyah / As Salihyah / As Samir · 120 sqm

Indicative price per sqm **SAR 3,700**

Unit value **SAR 444,000**

Annual rent **SAR 30,000**

Gross yield

6.8%

Lowest entry ticket · most saleable to housing-support beneficiaries · capital growth tied to infrastructure

04

Retail and Shopping Centres

KPI dashboard · Delivery map of major retail projects · Four pillars of demand · Enclosed malls vs open-air centres · Distribution by corridor · Strategic pyramid



Headline and Operating Indicators for Jeddah's Retail Market

+2.78M sqm

Existing gross leasable area (GLA)

7.0%

Vacancy in major malls only

1,850–1,950

SAR/sqm — average rent, community and open-air centres

7.5–8.5%

Net rental yield

94.5% Occupancy at prime destination malls

(Red Sea Mall, Mall of Arabia, Al-Andalus Mall, Stars Avenue) with scarce vacant space along the main footfall corridors and exceptional demand for restaurant and café units.



52% Share of daily footfall captured by F&B, entertainment and open-air frontages

Evidence of Jeddah's distinct position as the capital of open-air lifestyle centres and seafront dining — retail here sells on experience and coastal climate more than on floor area.

Takamol view: 7% vacancy in major malls against 4% in open-air centres means the opportunity is not another enclosed mall but a reallocation of space towards F&B, entertainment and frontages.

Delivery Map of Major Retail and Destination Projects 2026–2030

1 Westfield Jeddah 2026–2027

+155,000 sqm GLA · north Jeddah near the airport and growth corridors · Westfield's first entry into the Kingdom and a step change in international-brand retail and innovative entertainment.

2 The Cove and beachfront schemes 2026–2027

+127,000 sqm GLA (The Cove beside the F1 circuit, plus 37k sqm of retail at the Delta project on King Road) · northern Corniche · open-air centres and fine dining overlooking the yacht marina and the sea.

3 Jeddah Central marina retail 2028

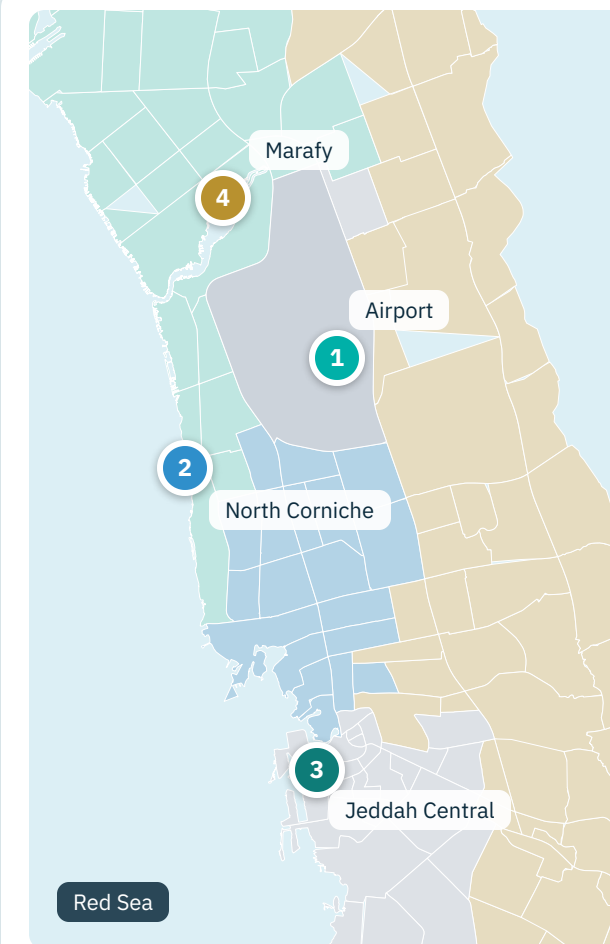
+140,000 sqm GLA · heart of the Jeddah Central waterfront · a luxury beachfront shopping boulevard and international dining around the marina, lagoons and oceanarium.

4 Marafy canal retail frontages 2028–2030

+180,000 sqm GLA · along the 11 km canal (north Jeddah / ROSHN) · the first integrated waterside retail promenade linking shopping with marine leisure and light water transport.

+600k sqm

Total new GLA planned to 2030 — roughly 22% on top of existing stock (2.78m sqm), concentrated entirely in open-air destinations and waterfronts.



Approximate project locations on the actual Jeddah district map

The Four Pillars of Demand and Spending in Jeddah's Retail Centres

Leasable area by pillar (upper end of range)

F&B and frontages 40%

Fashion 25%

Leisure 22%

Services

- **Restaurants, cafés and seafront frontages (35%–40%):** the largest pillar, with the highest visit frequency (7–9 a month) and leading POS volumes, driven by the city's social and tourist character and waterfront seating.
- **Showrooms, fashion and department stores (22%–25%):** destinations are moving towards experiential retail, with leading fashion houses along King Road, Tahlia and Red Sea Mall.
- **Family entertainment and interactive sports (20%–22%):** cinemas, water and indoor play centres, aquariums and event zones — lifting family dwell time beyond 3.5 hours.
- **Daily neighbourhood services (15%–18%):** supermarkets, pharmacies, gyms and beauty centres in community and strip malls, securing steady daily footfall and stable long leases.

7–9

visits a month — restaurant and café visit frequency

3.5+

hours — family dwell time in interactive entertainment centres

10–15

years — anchor lease terms in daily-services centres

Takeaway

The winning tenant mix in Jeddah starts with food and experience, is anchored by neighbourhood services, and reserves fashion for high-density, high-income locations.

Benchmark: Traditional Enclosed Malls vs Open-Air Centres

	Open-Air Centres (Strip & Lifestyle Malls)	Regional Enclosed Malls
Leading examples in Jeddah	Atelier La Vie, City Yard, Boulevard Jeddah, Le Château, the Tahlia and Corniche walks	Mid-size and traditional regional malls (Al-Sharq Centre, Sawary, old Tahlia, Al-Mahmal)
Occupancy	94.5–96% Strong demand for open frontages	88–90.5% Vacancy above 10%
Average rent	1,800–2,600 SAR/sqm a year	1,200–1,850 SAR/sqm a year
Operating edge	Heavy evening footfall drawn by the open-air setting, and 20% lower corridor cooling costs	High operating and cooling costs, with footfall drifting to open-air destinations

Open-air premium: a rental gap of up to +40% at the upper end and occupancy around 6 percentage points higher — making the conversion of struggling traditional malls into open-air destinations or entertainment and services centres an investment priority.

Geographic Distribution and Rents by Jeddah Retail Corridor

1

Northern coastal corridor

King Abdulaziz Road / Corniche / Obhur

The first leisure destination for Jeddah residents and visitors to the Kingdom at weekends and in peak seasons; not reliant on daily shopping.

2,200 – 2,800

SAR/sqm · 96.5% occupancy

2

Central corridor

Tahlia / Prince Sultan / Ar Rawdah

The historic artery of style: standalone showrooms, designer boutiques, luxury brands, salons, beauty centres and premium clinics.

1,800 – 2,400

SAR/sqm · 94.5% occupancy

3

Eastern corridor

Haramain Road / Al-Hamdaniyah / As Samir

Rising population density of young families — the largest mass after the reorganisation of central and south Jeddah; daily and service retail.

1,200 – 1,650

SAR/sqm · 92.0% occupancy

4

Southern and traditional centre

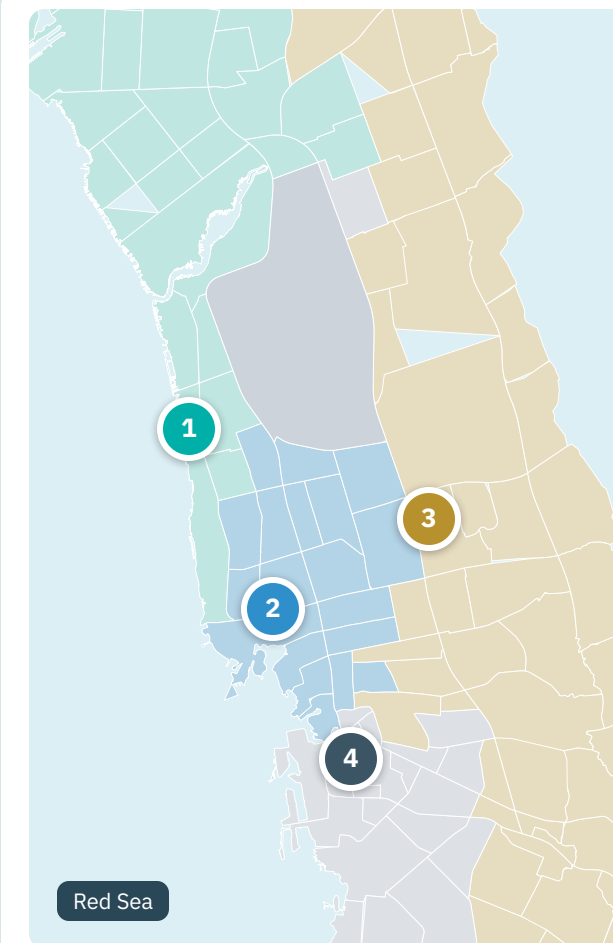
King Fahd Road (Sitteen) / Al-Balad

Wholesale, distribution and commercial storage, given the proximity to Jeddah Islamic Port, with a tourism-led upside as Al-Balad is redeveloped.

900 – 1,350

SAR/sqm · 87.5% occupancy

Implication: the rental gap between the coastal north and the traditional south is around 2.1x, with a 9-point occupancy gap — the market rewards a seafront location and an open-air experience above any other factor.



Centres of gravity of the retail corridors on the Jeddah district map

Strategic Pyramid and Executive Recommendations for Retail

Open-air lifestyle centres

Lifestyle & Strip Malls: develop 8,000–15,000 sqm plazas focused on cafés and specialist restaurants in the dense northern districts — highest yield and fastest lease-up.

Community services centres

New housing suburbs: secure anchor tenants (supermarket, pharmacy, gym) on long leases (10–15 years) — stable income that supports financing and exit.

Converting struggling traditional malls

Repositioning: replace large fashion floorplates with family entertainment, gyms and restaurants to halt footfall decline and lift occupancy from 88% towards 94%+.

Execution matrix

Smart parking formula

Smart multi-storey parking and valet at coastal destinations where the evening peak falls.

Flexible leases

Base rent plus turnover share for F&B and leisure, and short seasonal pop-up leases.

E-commerce integration

Pick-up and return points, micro-fulfilment for rapid delivery, and Click & Collect in community centres.

Pyramid ordered from the top: highest priority by return relative to development effort.

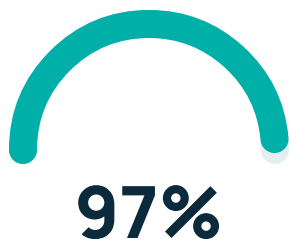
05

Warehousing and Logistics

KPI dashboard and gauges · Flow chart and supply chains from port to distribution centres · Demand drivers and special logistics zones · Investor opportunities



Dashboard and KPIs: Jeddah's Highest-Occupancy, Highest-Yield Sector



Average logistics occupancy in Jeddah

**~20.2M
sqm**

Total warehouse and logistics floor area,
growing around 1.4% a year

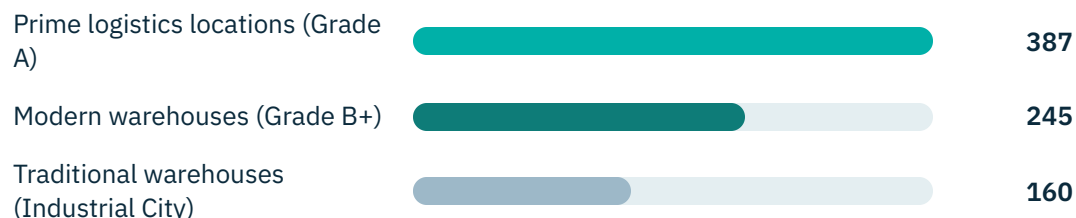
230–260

SAR/sqm a year — average rent for
modern warehouses, growing around
+8% a year

8.5–10.0%

Estimated net rental yield, underpinned
by high occupancy

Rent by warehouse grade (SAR/sqm a year)



Rents in prime logistics locations (near the port, the airport and the special logistics zone) reach around SAR 387/sqm a year — more than double traditional warehouses.

Why does logistics outperform in Jeddah?

97% occupancy reflects strong demand for warehouses and logistics facilities, driven by Jeddah's role as the Red Sea's principal port, e-commerce growth, and its service of the entire Makkah region (Hajj, Umrah and peak seasons).

Limited supply growth (1.4% a year) against +8% rental growth points to a structural shortage of modern warehouses (10m+ clear height, cold storage, loading docks), which explains the highest yield of any sector.

Supply-Chain Flow: From the Port to the Customer's Door

Four sequential links determine where logistics real estate demand concentrates in Jeddah.

Link 1

Jeddah Islamic Port 130M tonnes

Handling capacity of up to 130 million tonnes a year and 10.2 million TEU across 62 berths — the Kingdom's primary Red Sea gateway.



Link 2

Gateways and integrated hubs

4.5Mt by air

King Abdulaziz International Airport + the port + Al-Khumra and the integrated logistics hubs, with a target of lifting air cargo capacity to 4.5 million tonnes.



Link 3

Special logistics zones (SILZ)

0% customs

Customs and tax exemptions, bonded storage, consolidation and immediate re-export — attracting regional distributors and global companies' distribution centres.



Link 4

Distribution and cold storage

Fulfillment

Advanced distribution centres around the port and Al-Khumra, backed by Grade A warehouses, e-commerce fulfilment and cold storage serving Jeddah, Makkah and the Western Region.

Decisive location: the port – Al-Khumra – airport triangle is where the highest rents (SAR 387/sqm) and lowest vacancy are recorded.

Required specification: 10–12m clear height, multiple loading docks, chilled and frozen storage, smart fire and security systems, and manoeuvring space for heavy trucks.

Target tenant: freight and third-party logistics (3PL) operators, e-commerce, food and pharmaceutical distribution, and Hajj and Umrah suppliers.

Logistics Demand Drivers and Opportunities for Developers

The five demand drivers

- 1 E-commerce:** double-digit order growth across the Western Region is lifting the need for fulfilment centres and last-mile warehouses inside the urban boundary.
- 2 Hajj, Umrah and Makkah seasons:** vast food, pharmaceutical and logistics supply chains run through Jeddah to serve a target of more than 30 million visitors.
- 3 Regional re-export:** special logistics zones are turning Jeddah into a distribution hub for East Africa and the Red Sea.
- 4 Giga-projects:** building materials and fit-out for Jeddah Central, Marafy, Jeddah Tower and the stadiums require laydown yards and temporary and permanent warehouses.
- 5 Cold storage:** a clear gap in chilled and frozen capacity to serve the food and pharmaceutical sectors in the Western Region.

Investment opportunities

Build-to-Suit Grade A warehouses

Developed to tenant specification (3PL, e-commerce) on 7–10 year leases in the port–Al-Khumra–airport triangle; the closest fit to an institutional asset that can be exited through industrial REITs.

Cold storage parks and last-mile hubs

Mid-size divisible units (2,000–5,000 sqm) within the eastern urban area (Haramain Road, Industrial City) serving rapid delivery, restaurants and pharmacies.

Upgrading traditional warehouses

Upgrade older Industrial City stock (height, floors, docks, solar) to close the gap between SAR 160 and SAR 245/sqm rents at limited capital cost.

06

Hospitality and Hotels

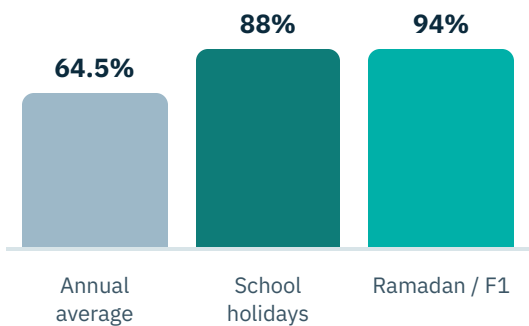
Operating and financial indicators · Demand drivers and guest behaviour · Development and investment economics · Geography of investment hotspots · Seasonality · Risks and hedging · Recommendations



Operating and Financial Dashboard for Jeddah’s Hotel Market

Indicator	Estimate 2026	YoY change	Analysis and data sources
Total existing hotel supply	16,800 – 17,200 keys	+3.2%	5- and 4-star hotels make up around 62% of high-quality institutional supply.
Annual average occupancy	64.5%	+0.8 pp	Occupancy jumps to 88%–94% in Ramadan, school holidays and the Formula 1 weekend.
Average daily rate (ADR)	SAR 735 / night	+1.8%	Measured rate growth; Corniche and Obhur resorts exceed SAR 1,500–2,000 at weekends and in peak seasons.
Revenue per available room (RevPAR)	SAR 474	+2.2%	Strong growth driven by rising international Umrah arrivals and major entertainment events.
Total operating revenue	SAR 790 / room	+2.5%	Record contribution from F&B, events, functions and wedding halls.
Gross operating profit margin (GOP)	35% – 38%	+0.6%	Margins below Riyadh owing to coastal HVAC maintenance and heavy fixed costs between seasons.

Occupancy: annual vs peak



Institutional view

A hospitality market with a dual seasonal dynamic: the gateway to the Two Holy Mosques (Umrah flows via the airport and Haramain rail) and leisure and beach tourism. The roughly 30-point gap between annual average and peak is both the core challenge and the opportunity.

Hotel Demand Drivers, Guest Behaviour and Spending in Jeddah

Demand segment	Key drivers and feeder events	Daily guest spend	Avg. stay	Share
Leisure and beach seasons	Jeddah Season, Saudi Arabian Grand Prix (F1), Red Sea Film Festival, resorts and yachting	SAR 1,500 – 2,300	3.2 nights	40%
Pilgrimage and religious transit	Umrah and Makkah visitor flows via King Abdulaziz Airport and the Haramain station, as a first stop or a final shopping stay	SAR 1,050 – 1,750	2.8 nights	32%
Business, port and trade	Shipping-line delegations, freight and logistics firms, banks and family groups, Chamber of Commerce meetings	SAR 1,300 – 2,000	2.4 nights	18%
Extended stay and serviced apartments	Consultants and engineers on the giga-projects (Jeddah Central, Marafy, airport expansion) and diplomatic and consular staff	SAR 750 – 1,150	18.0 nights	10%
Leisure 40% Pilgrimage 32% Business 18% 10%				

Shifts in guest behaviour

Coastal staycations: Saudi families from Riyadh and the Western Region take the largest share of weekend demand for resorts and sea-view hotel apartments.

38–45%

F&B and events contribution

Share of total luxury hotel revenue in Jeddah from restaurants, beach lounges and wedding halls — exceptional by regional standards.

Hotel Development and Investment Economics: Three Classes Compared

Financial and development metric	5-star beachfront Luxury Resort	4-star Upscale	Serviced apartments Serviced Living
Build and fit-out cost per key (CapEx/Key)	950k – 1.4m	550 – 750k	450 – 620k
International operator fees (Base + Incentive)	2.5% revenue + 8% GOP	2.0% revenue + 6% GOP	2.0% revenue + 5% GOP
Annual net cash flow per key	105,000 – 145,000	60,000 – 82,000	52,000 – 72,000
Expected internal rate of return (IRR)	11.5% – 13.8%	12.2% – 14.5%	13.5% – 16.0%
Payback period	8.5 – 10.0 years	7.5 – 8.8 years	6.2 – 7.5 years
Values in SAR · Takamol estimates based on 2026 hotel development benchmarks in the Western Region.			

Up to 50%

of capital cost covered by concessional Tourism Development Fund (TDF) loans and co-financing for quality hotel projects

Financing drivers for the sector

Closed-end development funds: growing reliance on CMA-regulated fund structures to finance construction and share risk with institutional investors.

Serviced apartments pay back fastest: highest IRR and shortest payback (6.2–7.5 years) with the lowest operating cost — the best fit for Jeddah given family and Umrah demand.

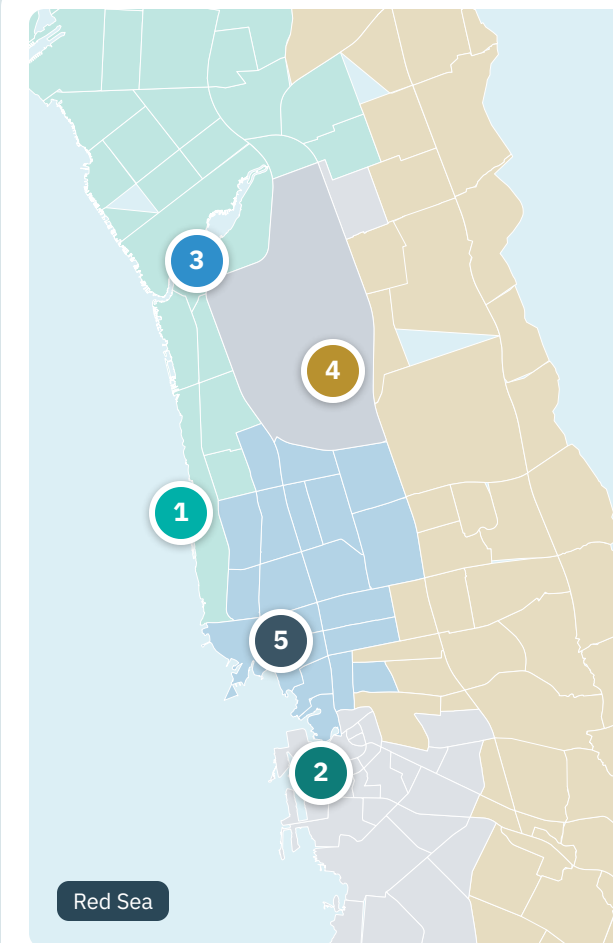
Detailed Geography of Hotel Investment Hotspots in Jeddah

1	Corniche and waterfront corridor	F1 circuit, Jeddah Waterfront, yacht club and marina, The Cove	Ultra-luxury resorts and branded residences	1,800 – 3,500
2	Jeddah Central and historic Al-Balad	Jeddah Central (2,700 hotel keys), the Opera House, the marina, Historic Jeddah regeneration	Hijazi heritage boutique hotels in Al-Balad, plus upscale marina, beachfront and opera-district hotels	1,100 – 2,000
3	Sharm, Obhur Bay and north Jeddah	Obhur resorts, Marafy and the canal, Jeddah Tower and Jeddah Economic City, Qiddiya Coast stadium	Family beach resorts, yacht clubs, and serviced hotel apartments overlooking the canal	850 – 1,450
4	Airport, Airport City and Haramain rail	King Abdulaziz International Airport (114 million passenger target), Airport City, Haramain High-Speed Rail station	MICE and transit hotels, plus economy and midscale hotels serving Umrah pilgrims	550 – 900
5	Business and commercial centre	King Abdulaziz Road, Prince Sultan, Tahlia, specialist hospitals and shopping centres	Modern 4-star business hotels and serviced apartments for professionals, companies and trade delegations	480 – 750

Surrounding major projects

Target supply type

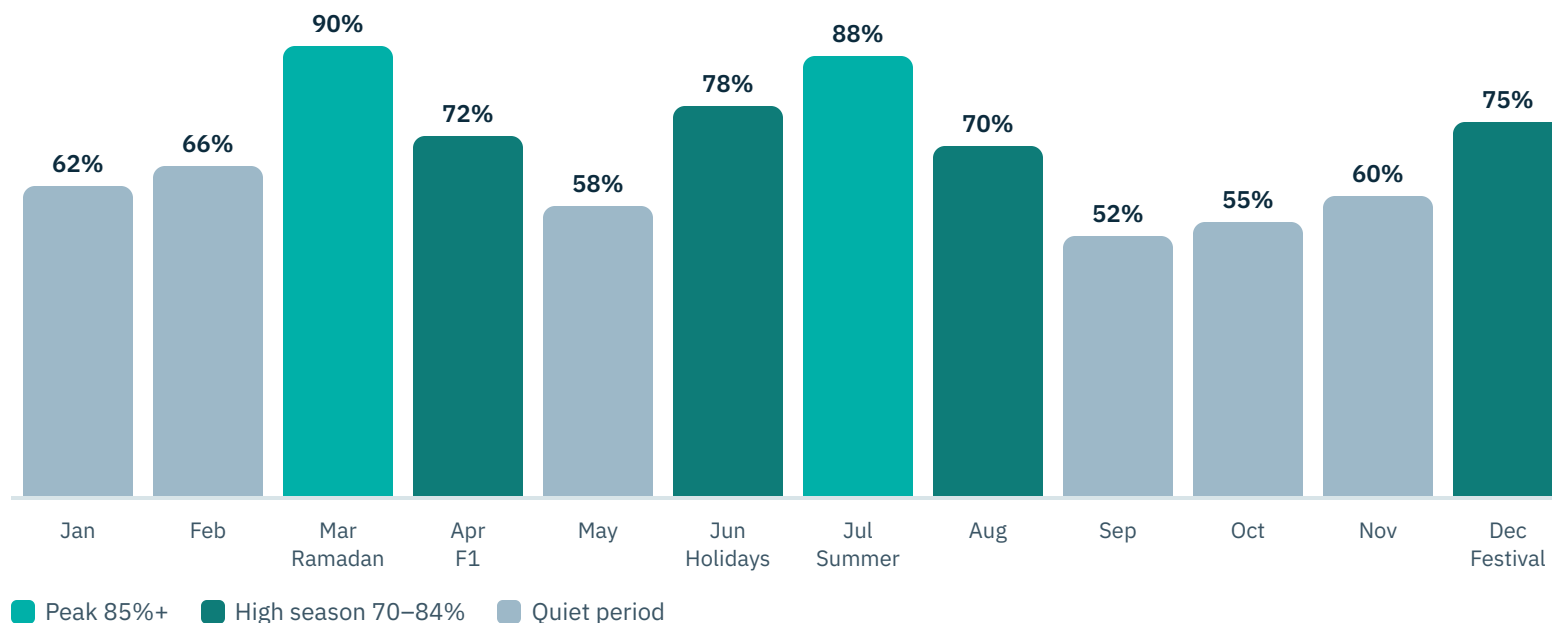
Target ADR (SAR)



The five hotel investment corridors on the Jeddah district map

Seasonality: Indicative Hotel Occupancy Curve through the Year

Takamol's reading of Jeddah's demand rhythm — an illustrative estimate from the annual average (64.5%) and seasonal peaks (88%–94%).



~30 pts

Gap between peak and quiet months — the primary operating challenge for a hotel owner in Jeddah

How is seasonality managed?

At peak: dynamic pricing, minimum stays (2–3 nights) and family beach packages.

In quiet months: corporate and Umrah agency contracts, opening restaurants and beach clubs to the local community, and hosting conferences and weddings.

In design: flexible dual-key assets that switch between hotel use and long-stay serviced living.

Strategic Hedging and Mitigation Framework for Jeddah

Challenge / risk	Impact	Strategic hedging and mitigation mechanism
Seasonal cash-flow volatility (Jeddah's biggest challenge)	High	Strategic partnerships and 2–3 night packages with Hajj and Umrah agencies and airlines to bring pilgrims in off-peak, plus beach-club, restaurant and lounge memberships for the local community to secure steady non-room cash flow.
Oversupply after the giga-projects deliver (post-2030 risk)	Medium–High	Adopt a flexible dual-key / convertible asset model so hotel rooms can operate as serviced apartments or long lets when tourism slows or a new supply wave arrives.
Maintenance cost in a humid coastal environment	Medium	Specify high-grade construction and insulation resistant to salt and marine humidity from the design stage, cutting the operating maintenance costs that squeeze the GOP margin (35%–38%).
Competition for hotel talent and Saudisation ratios	Medium	Draw on the Ministry of Tourism's targeted training initiatives (Tourism Pioneers programme) and partner with Western Region tourism and hospitality colleges to build local talent on stable contracts.

Executive Recommendations for Hospitality Investors

01

Capture the family-oriented serviced apartment opportunity (Serviced Living & Extended Stay)

Serviced apartments offer the fastest capital payback in Jeddah (6.85 years on average) at the lowest operating cost, driven by GCC and Saudi family demand in holiday seasons and Umrah visitors' preference for independent family stays close to transport hubs.

IRR 13.5%–16.0% · Payback 6.2–7.5 years

02

Invest in beachfront and heritage upper-midscale hotels (Upper-Midscale & Heritage Boutique)

Bridge the wide price gap between high-priced luxury resorts and modest budget hotels with contemporary lifestyle hotels (3- and 4-star) priced at SAR 450–750, targeting youth tourism, marine events and visitors to Historic Jeddah.

Target ADR SAR 450–750 · The widest gap in the market

03

Activate Tourism Development Fund (TDF) backed financing

Make full use of concessional financing programmes covering up to 50% of capital cost for hotel projects in the Western Region's target destinations, and adopt the franchise model to reduce international management fees and lift owner margins.

Up to 50% concessional financing · Franchise over management

07

Legislative & Regulatory Framework

Market restructuring and consumer protection · Supply-support and anti-speculation initiatives · Regulatory transformation roadmap · Foreign ownership law · Premium Residency · Wafi and escrow accounts · White land tax and RETT



Market Restructuring, Consumer Protection, Global Capital

\$100bn

Strategic annual foreign direct investment (FDI) target by 2030

~7.5%

Total transaction costs (5% RETT + brokerage commission capped by law at 2.5%)

Q3 2025 – Q1 2026

The window of game-changing regulatory decisions

Scope of ownership in the Western Region

The law prohibits freehold ownership within the precincts of the Two Holy Mosques, limiting it to fixed-term usufruct rights or special mechanisms coordinated with the Royal Commissions of the two Holy Cities — while Jeddah lies outside this zone, making it the natural gateway for foreign ownership in the Western Region.

"Saudi Real Estate" platform: the mandatory digital gateway for non-Saudis to verify eligibility and engage with developers.

From speculation to operational sustainability

Q3–Q4 2025 and Q1 2026 brought radical regulatory decisions that changed the rules of the game, shifting the market from speculation to operational sustainability: the Non-Saudi Ownership Law, updated Wafi regulations, the expanded white land tax and the activation of the Tawazoun platform.

The result: an institutional environment governed by Real Estate General Authority legislation, lifting the Kingdom's real estate transparency index and creating a secure environment for foreign and domestic investors alike.

Supply and Anti-Speculation Measures: Tawazoun and the WLT

TZ

The Tawazoun Platform

A pricing mechanism protecting eligible citizens

Objective

Close the gap between supply and demand and cap residential land prices for eligible citizens.

Mechanism

A price ceiling on residential land of no more than SAR 1,500/sqm within designated zones.

Controls

A 10-year ban on resale or letting, ensuring support reaches genuinely eligible beneficiaries.

WLT

Expanded White Land Tax

Unlocking hoarded land within the urban boundary

2.5%

of land value per year — the base levy

Up to 10%

Progressive levy structure for major cities

Targeting millions of square metres of white land in Jeddah (building on Phase 1, which covered over 411 million sqm Kingdom-wide). The on-the-ground effect: curbing land banking and compelling major landowners either to sell to developers or enter development partnerships — lifting residential supply within the urban boundary.

Developer opportunity: landowners under levy pressure are more open to joint-venture development models — cutting land cost, which runs at 40%–50% of project cost.

Regulatory Roadmap: Four Phases That Redefined the Market

01

Regulation & Governance

Launch of the Real Estate Brokerage Law and its implementing regulations to protect transactions, and the establishment of the Real Estate General Authority as a unified legislative body.

02

Digitisation & Documentation

The Ejar platform and the unified Real Estate Registry for electronic title documentation, linking transactions to transparent official data.

03

Financial Opening & Liquidity

Updated REIT regulations, the off-plan sale and lease law (Wafi) and bank escrow accounts.

04

Internationalisation & Investment

Expansion of Premium Residency and an updated foreign property ownership law, linking ownership to direct investment incentives.

According to Knight Frank, the Saudi real estate sector is no longer an unregulated market governed by individual discretion; it has become an institutional environment governed by legislation issued by the Real Estate General Authority. This shift from informality to digital governance has lifted the Kingdom's Real Estate Transparency Index, according to JLL, creating a secure environment for foreign and domestic institutional investors alike.

The Non-Saudi Ownership Law and International Liquidity Flows

+35%

Growth in foreign investment licences in the real estate and commercial sectors

What has changed?

- **The fundamental shift:** removal of strict restrictions on vacant land and residential projects, linking ownership to direct investment incentives.
- **The Holy Cities zone:** freehold ownership is prohibited in Makkah and Madinah, limited to fixed-term usufruct rights or special mechanisms — redirecting foreign demand in the Western Region to Jeddah.
- **The digital route:** eligibility verification and registration via the "Saudi Real Estate" platform before contracting with the developer.

From "temporary residential consumption" to "permanent capital investment"

CBRE research shows that updating the Non-Saudi Property Ownership Law is a major turning point, opening the door to regional and international wealth. Foreigners are no longer confined to long-term leasing but can own directly, moving demand from "temporary residential consumption" to "permanent capital investment" — which supports price stability and liquidity in hospitality and luxury residential compounds.

Expected impact on Jeddah specifically

Direct foreign demand for branded residences on the Corniche, in Obhur and Jeddah Central, and for serviced apartments near the airport and the Haramain High-Speed Rail — from Gulf and wider Islamic-world investors who visit the Western Region regularly.

Impact of Premium Residency on the Real Estate Sector

Premium Residency-driven demand by asset class



Takamol estimate based on observed demand patterns among Premium Residency holders.

The new residency packages

Real Estate Owner Residency

Entrepreneur Residency

Exceptional Competence Residency

Investor Residency

Knight Frank confirms that the Real Estate Owner Residency (conditional on owning an unmortgaged property asset worth at least SAR 4m) has created direct, rapid demand for luxury apartments, villas and integrated developments, notably in north Riyadh and Jeddah, prompting developers to design products specifically for this high-net-worth segment.

The product Premium Residency holders want in Jeddah

Units ≥ SAR 4m on the North Corniche, in Obhur and Jeddah Central · gated compounds with hotel management · apartments with direct sea views · flexible short-term letting while away — precisely the products developers are advised to design along the northern corridor.

The Wafi Off-Plan Sales Programme and Capital Protection

How the Wafi cycle works — from reservation to handover

1**Solvency and qualification requirements**

Screening out small unqualified developers and confining development to entities with proven delivery capability.

**2****Bank escrow account**

Buyer instalments are deposited and released only against certified engineering progress reports.

**3****Handover and post-sale guarantees**

Drawdowns tied to actual completion rates, with buyer rights protected through to final registration.

+60%

Growth in off-plan projects over two years

≈ 0%

Project default risk reduced to near zero

JLL's reading

The updated Wafi programme addressed investors' and buyers' greatest concerns: stalled projects and delayed handovers. Requiring developers to tie drawdowns to actual on-site progress imposed unprecedented financial discipline and restored individual and institutional confidence in early purchase — giving developers low-cost self-funded liquidity without resorting to high-interest bank borrowing.

Why it matters for Jeddah developers: funding the construction cycle from buyer instalments cuts financing cost by around 3–5 percentage points and frees capital for land and design.

Financial Impact: White Land Tax, RETT, First-Home Exemption

	White Land Tax	Real Estate Transaction Tax (RETT)	First-Home Exemption
Rate / Mechanism	2.5% of land value per year (progressive up to 10% in major cities)	5% Flat rate on the value of the property transaction	1,000,000 SAR — ceiling of the tax exemption for a first home
Direct objective	Curbing land hoarding and pushing owners to develop	Replaces VAT (15%) on real estate	Supporting citizen home ownership
Impact on market activity	Unlocking millions of square metres and increasing residential supply within the urban boundary	Easing the liquidity burden and speeding up asset turnover between companies and individuals	Stimulating unit sales in the mid-market and affordable price brackets

Reports show that the advanced phases of the white land tax, particularly in Jeddah and the major cities, have reduced land banking and hoarding of vacant urban land, compelling major landowners either to sell to developers or enter development partnerships. Meanwhile, RETT held steady at 5% with first-home exemptions has preserved the flexibility of real estate transaction flows.

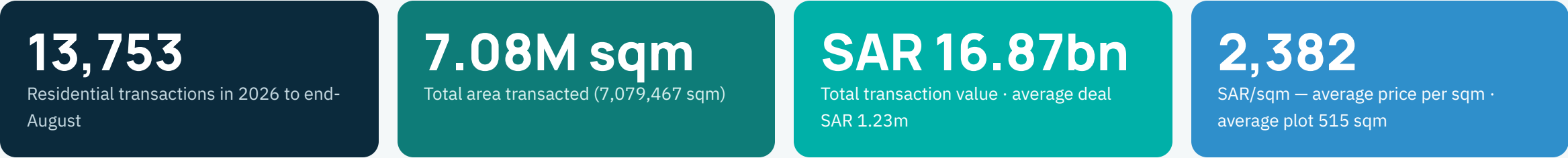
08

Real Estate Transaction Volumes

A reading of Real Estate Registry transactions in Jeddah Governorate during 2026 (to August): the residential sector · the commercial sector · the agricultural sector · cross-sector comparison and conclusion



Residential Sector: 95.6% of Jeddah’s Transactions in 2026



Indicator	Value	Source / Scope
Total transactions (all activity)	14,391 deals	All sources (2026)
Number of residential transactions	13,753 deals	Real Estate Registry
Total transaction value	SAR 16.87bn	Real Estate Registry
Average transaction value	SAR 1.23m	Real Estate Registry
Average price per square metre	SAR 2,382/sqm	Real Estate Registry
Average property area	515 sqm	Real Estate Registry

Where are transactions concentrated?

Residential activity is concentrated in Al-Safa, Al-Salamah, Al-Nuzha and Al-Waha, plus the expansion zones of Obhur and Al-Yaqout — while total transactions across all activity exceeded SAR 22.8bn.

What this means

A broad residential market built on price brackets and plot sizes suited to families and investors, with an average price of around SAR 2,382/sqm — giving it a competitive edge and strong investment appeal relative to the capital's markets.

Commercial Sector: Fewer Deals, Higher Values, Larger Plots

635

Commercial transactions recorded in the Real Estate Registry in 2026 to August

5.94bn

SAR — total value of commercial transactions

9.35m

SAR — average commercial deal value (7.6× the average residential deal)

5,957

sqm — average plot size per deal · average price around SAR 1,569/sqm

Residential vs commercial — relative comparison



What this means

Far fewer deals than residential, but a much higher average value per deal and vast plot sizes, reflecting the nature of Jeddah's commercial assets: development land, warehouses and logistics facilities in the expansion schemes (Mraikh, Al-Sarawat, Jawharat Al-Arous), alongside showrooms, shopping centres and offices.

Agricultural Sector: Limited Activity, Large Values and Plots

3

Agricultural transactions in the Real Estate Registry

45.62M

SAR — total transaction value

958,946

sqm — total area transacted

319,649

sqm — average plot per deal ·
average value SAR 15.2m

47.57

SAR/sqm — average price per
sqm

Price per sqm by sector (SAR/sqm) — indicative log scale



Agricultural land on Jeddah's fringes trades at around 2% of the residential price per sqm — by nature a long-cycle capital asset whose value is tied to urban boundary expansion and change of use.

Transactions section — conclusion

Jeddah Governorate's 2026 transaction indicators reflect an active, stable market led first and foremost by residential demand: the residential sector accounts for over 95.5% of all transactions with liquidity exceeding SAR 16.8bn, signalling sustained household momentum towards owning moderately priced units and apartments in family-sized formats.

Commercial and investment deals, meanwhile, record liquidity of close to SAR 6bn with large average values and plot sizes concentrated along key corridors and in logistics and service expansion schemes, against very limited agricultural land activity.

Jeddah in the Capital's Mirror: Benchmarking Against Riyadh 2026

Selected indicators from Takamol's Riyadh and Jeddah reports — a reading of Jeddah's relative position and pricing opportunities.

Indicator	Jeddah	Riyadh	Reading
Population	~3.75m	8.6m+	Jeddah is the second-largest residential market, denser along the coast and central corridors.
Office stock (GLA)	2.8M+ sqm	5.1M+ sqm	About 55% of Riyadh's size, but with comparable Grade A occupancy (95% vs 97.5%).
Grade A office rent (upper bound)	~SAR 1,250/sqm	~SAR 2,200+/sqm	A price gap of around 40%–45% makes Jeddah the lower-cost base for regional HQs in the west.
Net office yield	7.0–8.0%	8.5–9.5%	A slightly lower yield in exchange for a lower entry ticket and milder rental volatility.
Annual hotel occupancy	64.5%	74.5%	Higher seasonality in Jeddah, offset by 88%–94% peaks and an exceptional F&B contribution.
Logistics occupancy	97%	~96%	The port and airport give Jeddah a structural edge in logistics and re-export.
Average residential price per sqm (2026 deals)	SAR 2,382/sqm	Markedly higher	A competitive advantage for Jeddah on the residential entry ticket versus the capital.

09

Takamol's View: How We Can Help

Ten ranked investment opportunities · Investor matrix by capital and horizon · Takamol Advanced and its services · Real Forsa and Real Invest · Sources and methodology

Ten Jeddah Opportunities for 2026 – Ranked by Strength of Case

1

Grade A warehouses in the Port–Al-Khumra–Airport triangle

97% occupancy · 8.5%–10% net yield · Build-to-Suit

Logistics

2

Serviced apartments near the airport and Haramain rail

IRR 13.5%–16% · Payback 6.2–7.5 years · Umrah and family demand

Hospitality

3

Open-air lifestyle centres in the northern districts

8–15k sqm · 96% occupancy · Rent SAR 1,800–2,600/sqm

Retail

4

Small investment apartments (1–2 bed) near the Corniche

Yield up to 8.5% · Fastest letting · Entry ticket ~SAR 480k

Residential

5

LEED boutique Grade A offices on the Corniche and King Abdulaziz Road

95%–98% occupancy · Rent SAR 1,200–1,250/sqm · Window before 2028

Offices

6

Institutional Build-to-Rent near business corridors

7–13k unit annual gap · Managed via Ejar · 6.8%–7.6% yield

Residential

7

3–4 star lifestyle hotels in Al-Balad and on the Corniche

ADR SAR 450–750 · The widest gap · TDF financing up to 50%

Hospitality

8

Branded residences ≥ SAR 4m in Obhur and Jeddah Central

Premium Residency and foreign ownership demand · 20%–25% price premium

Luxury

9

Repositioning Grade B offices and traditional malls

Lifting occupancy from 82%–88% towards 94%+ at limited capex

Value-add

10

JV partnerships with landowners under white land tax pressure

Cutting land cost from 40%–50% · Serviced north-east Jeddah

Land

Investor Matrix: Which Opportunity Suits Whom?

Individual investor

Capital SAR 0.5 – 3m

Horizon: 5–8 years · Goal: recurring income + capital growth

1–2 bed investment apartment near the Corniche or rail station

Affordable apartment in the east for housing-support beneficiaries

Off-plan (Wafi) units in the northern suburbs

Target yield: 6.8% – 8.5%

Mid-size investor / family office

Capital SAR 3 – 30m

Horizon: 5–10 years · Goal: liquid income-producing asset

Build-to-Rent residential building near business corridors

Open-air strip mall in a dense northern district

Cold-store / last-mile warehouse of 2,000–5,000 sqm in east Jeddah

Target yield: 7.5% – 9.0%

Real estate developer

Projects SAR 30 – 300m

Horizon: 2–4 year development cycle · Goal: development margin + exit

120–170 sqm apartments for sale using MMC and off-plan sales

Serviced apartments under a franchise agreement with TDF financing

JV partnership with a landowner in north-east Jeddah

Target margin: 22% – 28% · IRR 13%–16%

Institutional investor / funds

SAR 300m+

Horizon: 7–15 years · Goal: core income assets on long leases

Grade A warehouse portfolio let to 3PLs on 7–10 year leases

LEED office tower pre-let to regional headquarters

4-star hotel / beach resort via a closed-end development fund

Target yield: 7.0% – 10.0% · REIT-listable

Takamol Advanced: Your Advisory Partner

Takamol Advanced Company (TAC) is a Saudi–Emirati real estate and investment advisory partnership, combining local market expertise with digital analytical tools to deliver decisions grounded in data rather than impression. We serve developers, individual investors, family offices and funds across the Kingdom and the GCC.

Market Research & Reports

Periodic city- and district-level reports, opportunity maps and sector KPIs — such as this report.

Feasibility & Valuation

Financial modelling, highest-and-best-use analysis, asset valuation, and deal and partnership structuring.

Investment Advisory

Portfolio construction, opportunity selection and due diligence for local, GCC and international investors.

Development Advisory

Defining the optimal product, use mix, pricing, and launch and marketing strategy for developers.

Foreign Investor Services

Guidance on the Non-Saudi Ownership Law and Premium Residency, from eligibility checks to closing.

Integrated Digital Ecosystem

Real Forsa to discover opportunities, Real Invest to analyse them — our tools that turn this report into a decision.

Why Takamol? Corridor- and district-level analysis, not just city-level · Figures linked to workable feasibility models · A team combining Saudi and Emirati expertise · Full transparency on sources and methodology.



From Report to Decision: Real Forsa and Real Invest

Two Takamol Advanced platforms that complement this report — one showcases opportunities, the other analyses them.

RF Real Forsa

Real Forsa · realforsa.sa

The proptech marketplace for real estate opportunities in the Takamol ecosystem: it gathers curated opportunities across the Kingdom — development land, income-producing assets, development partnerships and off-plan products — and presents them to Saudi, GCC and international investors with unified, transparent data.

- The Jeddah opportunities in this report (logistics, serviced apartments, open-air centres...) are listed as browsable, trackable opportunities.
- Filter by city, sector, capital and target yield.
- Direct contact with the Takamol team for due diligence and deal structuring.

Discover Jeddah opportunities on Real Forsa

RI Real Invest

Real Invest · invest.realforsa.sa

Takamol's automated analysis and feasibility tool: enter the land or asset data (location, area, use, cost) and receive an instant preliminary feasibility study — cash flows, IRR, payback period and sensitivity analysis — built on the same market indicators presented in this report.

IRR

Internal rate of return

NPV

Net present value

Payback

Payback period

Run your Jeddah project's feasibility on Real Invest

Sources, Methodology and Disclaimer

Official sources

Real Estate Registry and Ministry of Justice — transaction data (January–August 2026)

General Authority for Statistics — population, income, inflation

Real Estate General Authority (REGA) — laws and regulations

Saudi Central Bank — real estate finance

Zakat, Tax and Customs Authority — RETT and land levies

Jeddah Municipality — building permits and master plans

Ministry of Tourism and the Tourism Development Fund

Saudi Ports Authority (Mawani) and Jeddah airports

Market and benchmark sources

PIF and giga-project developer announcements (ROSHN, NHC, Jeddah Central, Marafy)

JLL reports — sector yields and the Transparency Index

Knight Frank reports — Premium Residency and governance

CBRE reports — the Non-Saudi Ownership Law

Takamol field surveys of rents and occupancy, 2026

Official open geographic district data (maps)

Takamol Real Estate Market Report — Riyadh 2026 (for comparison)

Methodological notes

Values in Saudi riyals · Annual rates compared with the same period of 2025 · Figures preceded by "about" or "around" are estimates · Percentage distributions and monthly curves are indicative, based on the report's averages · Project locations on maps are approximate.

Disclaimer

This report has been prepared for general informational and analytical purposes and does not constitute investment advice, an offer or an invitation to invest in any asset. Takamol Advanced has relied on sources it believes to be reliable without guaranteeing their accuracy or completeness, and figures may change as official data is updated. Investors should conduct independent due diligence and obtain specialist advice before any decision. © Takamol Advanced 2026 — All rights reserved.



Thank you for your trust

This report is part of Takamol Advanced's series on the Saudi real estate market — Riyadh · Jeddah · Al-Qassim · Eastern Province · Makkah · Madinah · Dammam. For a detailed edition on a specific sector or corridor, or a feasibility study for your project in Jeddah, get in touch.

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